

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-23

MARINE TRANSPORT LOGISTICS, INC.
v.
CMA CGM, S.A.

**Respondent CMA, CGM, S.A.'s Opposition Brief, Replies to Complainant's
Proposed Findings of Fact, Proposed Findings of Fact, and Appendix**

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RESPONDENT'S OPPOSITION BRIEF

Pursuant to the Order of the Presiding Officer, CMA CGM., S.A. (“Respondent” or “CMA”) submits its Opposition Brief in response to Marine Transportation Logistics, Inc.’s (“Complainant” or “MTL”) Opening Brief, Respondent’s Responses to Complainant’s Findings of Fact (“CPFFs”), Respondent’s Proposed Findings of Fact (“RPFFs”), and Respondent’s Appendix (RX).

I. INTRODUCTION

In its Complaint, MTL alleges that CMA violated the Section 41102(c) of the Shipping Act. After months of discovery involving several depositions and tens of thousands of pages of produced documents, MTL has failed to carry its burden to establish that CMA’s handling of cargo diversions in the wake of the Russian invasion of Ukraine in February 2022, CMA’s refusal to transport prohibited contraband, or any other practice of CMA violates the Shipping Act. Assuming *arguendo* MTL had met its burden to prove CMA’s practices unreasonable (which CMA denies), MTL has failed to prove it suffered any damage as a result. Accordingly, MTL’s claims must fail and the Presiding Officer should dismiss MTL’s case and enter judgment in favor of CMA.

II. FACTUAL BACKGROUND

Broadly speaking, MTL bases its various claims on three distinct sets of operative facts. First, MTL asserts that CMA acted unreasonably with respect to the delivery of five MTL shipments being transported by CMA with an original destination of Odesa, Ukraine (the “Ukraine

Shipments”).¹ Second, MTL complains that CMA acted unreasonably with respect to the delivery of one MTL’s shipment transported by CMA from New York to Libya (the “Libya Shipment”). Finally, MTL complains about two shipments that CMA rolled (deferred to the next available vessel) (the “Rolled Shipments”).²

The Ukraine Shipments, the Libya Shipment, and the Rolled Shipments are unrelated in every sense—temporally, geographically, and in terms of the contractual provisions relevant to each. Accordingly, the facts and documents relevant to each are incorporated by reference in the attached Respondent’s Responses to Complainant’s Findings of Fact (“CPFFs”) and in the Respondent’s Proposed Findings of Fact (“RPFFs”) and are summarized separately in the following sections.

1. The Ukraine Shipments

Between December 28, 2021 and February 17, 2022, MTL contracted with CMA to ship five containers of cargo from the Port of New York to Odesa, Ukraine. On February 24, 2022, Russia invaded Ukraine, initiating a bloody conflict that continues to disrupt transportation logistics in the region to this day. On the date of Russia’s invasion, the International Maritime Organization, and the North Atlantic Treaty Organization issued warnings to vessels in the Black

¹ The term “Ukraine Shipments” encompasses the shipments specified in the Complaint as having originally been bound for Odesa, Ukraine, designated by MTL as follows: (Booking #NAM4887632/Container #TGBU5073710; Booking #NAM4996094/Container #UETU5251612; Booking #NAM4887650/Container #SEGU6471959; Booking #NAM4887651/Container #UESU5180789; and Booking #NAM5020932/Container #TRLU7542206.

² MTL also confusingly refers to and attaches a copy of its long-resolved complaint in Docket 18-07. Although MTL does not state the purpose for this attachment, the matter was settled on January 21, 2020 and MTL clearly cannot re-litigate those claims either under the express terms of the settlement agreement, because they are barred by the statute of limitations and the doctrine of accord and satisfaction. See [RPFF120].

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Sea. [RPFF23; RPFF24]. Also on that same date, the Government of Ukraine announced that, as of February 26, 2024, all Ukrainian seaports on the Black Sea (including Odesa) would be closed to commercial vessel traffic. [RPFF25].

a. Applicable Terms and Conditions

On February 24, 2022, when the official announcement was made that the Port of Odesa would soon close, CMA published a public notice to its customers saying:

“The CMA CGM Group has been closely monitoring the situation in Ukraine and the Black Sea region. Over the past several days, we have taken all necessary measures to protect our employees and ensure as much as possible the continuity of the supply chain. The safety of our employees and their families in Ukraine is our main focus. We are thankful to report that at the moment all of them are safe. As part of our business continuity plan, they will be working from home until further notice. Our security team will be monitoring developments 24/7 to ensure constant contact with them. In the interest of safety, the Group has decided to suspend all vessel calls to Ukraine as of today and until further notice.”

The advisory also informed the shipping public that *“floating cargo to Ukraine will be redirected to the ports of Constanza (Romania), Tripoli (Lebanon) or Piraeus (Greece).”* [RPFF28 (emphasis added)]. These diversions were made pursuant to Term 10 of CMA’s standard bill of lading terms and conditions, which provides:

10. MATTERS AFFECTING PERFORMANCE

If at any time the Carriage is or likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind (other than the inability of the Goods safely or properly to be carried or carried further which is provided for in Clause 24 infra) and howsoever arising (even though the circumstances giving rise to such hindrance, risk, delay, difficulty or disadvantage existed at the time this contract was entered into or the Goods were received for Carriage), the Carrier (whether or not the Carriage is commenced) may, without prior notice to the Merchant and at the sole discretion of the Carrier, either :

- (a) carry the Goods to the contracted Port of Discharge or Place of Delivery, whichever is applicable, either by the intended or the alternative route to that indicated in this Bill of Lading or that which is usual for Goods consigned to that Port of Discharge or Place of Delivery. If the Carrier elects to invoke the terms of this Clause 10 (a) hereof, he shall be entitled to charge such additional Freight, including extra war risk charge as the Carrier may determine, or
- (b) suspend the Carriage of the Goods and store them ashore or afloat upon the Terms and Conditions of this Bill of Lading and endeavour to forward them as soon as possible, but the Carrier makes no representations as to the maximum period of suspension. If the Carrier elects to invoke the Terms and Conditions of this Clause 10 (b) then, he shall be entitled to charge such additional Freight as the Carrier may determine, or
- (c) abandon the Carriage of the Goods and place the Goods at the Merchant’s disposal at any place or port which the Carrier may deem safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease. The Carrier shall nevertheless be entitled to full Freight on the Goods received for Carriage, and the Merchant shall pay any additional costs of the Carriage to, and delivery and storage at, such place or port.

If the Carrier elects to use an alternative route under Clause 10 (a) or to suspend the Carriage under Clause 10 (b) this shall not prejudice its right subsequently to abandon the Carriage under Clause 10 (c).

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Term 10 is a type of provision commonly referred to as a “deviation clause” or “liberties clause.” It, like the rest of the terms and conditions found in CMA’s standard bill of lading, was incorporated into MTL’s service contract and applied to the Ukraine Shipments. [RPFF12].

While Term 10 governs changes made at CMA’s initiative, other terms apply to changes made at the request of the shipper/consignee. Specifically, Term 11(6) provides:

“In the event the Carrier agrees, at the request of the Merchant, to amend the Place of Delivery stated herein, the Terms and Conditions of this Bill of Lading shall continue to apply, only to the extent provided by the Applicable Tariff, until the Goods are delivered by the Carrier to the Merchant at the amended Place of Delivery.” [RPFF40].

Similarly, Section 11 of MTL’s FMC-filed service contract likewise imposes conditions on customer-requested changes:

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] [RPFF39].

And in addition to the bill of lading terms and conditions and the provisions of the service contract, the Ukraine Shipments were also subject to the terms and conditions in the applicable FMC-filed tariff. [RPFF21]. Most relevant here are the following provisions:

“Diversion requests must be received by the carrier in writing no less than two working days prior to the vessel's arrival at the interchange port. The Carrier will endeavor to satisfy the request but will not be responsible if the diversion cannot be effected.” [RPFF45].

All of these provisions were applicable to the Ukraine Shipments. Indeed, together, the bill of lading, service contract, and applicable tariff provisions form the contract of carriage for these shipments (the “Ukraine Contract of Carriage”).

b. MTL's Affected Shipments

Between December 28, 2021 and February 17, 2022, MTL booked five shipments with CMA for transportation from Maher Terminal at the Port of New York to Odesa, Ukraine. [RPFF19]. The five containers were loaded on four CMA vessels, which then departed for Odesa. On February 24, 2022, the day Russia invaded Ukraine, the Ukraine Shipments were on the water, at different locations depending on the vessel, heading to Odesa. [RPFF22].

MTL was well aware that the Port of Odesa had closed, including by reason of notices from CMA. [RPFF29]. The vessels carrying the Ukraine Shipments (and thousands of other containers) were diverted in accordance with the published notice, to the diversion port of Constanta, Romania, roughly 220 nautical miles from Odesa, where the cargo, including MTL's, was offloaded.

Rather than accept delivery of the Ukraine Shipments at Constanta (as MTL was obligated to do under the Ukraine Contract of Carriage), MTL requested a Change of Destination ("COD") to the Port of Bremerhaven, Germany, over 4,000 nautical miles away, as well as a Change of Consignee ("COC"). [RPFF46].

It bears repeating that under the Ukraine Contract of Carriage, CMA could have simply terminated the transportation and left the cargo at Constanta. [RPFF41]. CMA instead began a laborious and complex process of working with shippers to sort what to do with the diverted cargo, which included changes in destination and consignees for many shipments. To do so, CMA and its agents worked closely with the shippers involved, including MTL, to process COD and COC requests. In some cases, the process was made more difficult and time-consuming, because the original consignee could not be reached, the shipper gave CMA confusing or conflicting instructions, the new consignee refused to accept the cargo, or there was no FMC-compliant applicable rate on file for that shipper for the new destination. Resolving these issues unavoidably

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took more time and effort than would have been required for CMA to simply refuse to accommodate the shipper's requests and/or apply the tariff rate. [RPFF44-RPFF62].

Between March 3 and March 25, 2022, MTL, through Account Manager Julia Privalova, requested a COD for each of the five Ukraine Shipments, from Odesa to Bremerhaven, "due to the ongoing war in Ukraine." CMA's autoreply email to Ms. Privalova stated, in red capital letters:

******PLEASE NOTE THE BELOW INFORMATION FOR ALL COD REQUESTS******

All COD requests are subject to approval and are not guaranteed." [RPFF47].

On March 25, 2022, Ms. Privalova requested that CMA also change the consignee on the bills of lading for the Ukrainian Shipments from the original consignee, Andrey Kodryanka in Odesa, to either FavoritPlus (for one container) or Interfracht (for the other four containers) in Bremerhaven. [RPFF46; RPFF49].

Between April and May 2022, CMA's Cargo Diversions team in the United States emailed Ms. Privalova regarding specific shipments, informing MTL that there would be a fee of \$2,000 per container for the COD and further advising that MTL could incur "additional costs, not covered under service contract rate" including "i.e., storage charges, customs fines, etc." for each of the Ukraine Shipment containers. [RPFF50]. Ms. Privalova responded to each of these emails with, "*Confirmed, please proceed.*" [RPFF51 (emphasis added)]. Thus, MTL not only knew well in advance that it could be charged for storage and other added costs for these requested changes, it also acknowledged and agreed to be responsible for such charges, pursuant to the Ukraine Contract of Carriage.

To be certain, the Russian invasion of Ukraine delayed normal business operations for countless parties, including CMA. Sorting through the huge number of containers, processing the many COD and COC requests and getting containers re-routed to their new destinations, all in a

time of confusion, conflict, and danger in the Black Sea, necessarily took substantial time. Overcoming these challenges, in July 2022, CMA delivered the containers to the new destination in Bremerhaven, as requested by MTL. But there was a problem on arrival, this time with MTL's newly designated consignee for four of the Ukraine Shipments – Interfracht.

Apparently, MTL added Interfracht as the consignee on the Ukraine Shipments without Interfracht's knowledge or consent. [RPFF54]. After the containers reached Bremerhaven, Interfracht sent letters of renouncement to CMA, stating that it had been "placed as consignee without their approval." [RPFF56]. CMA promptly emailed MTL, explaining: "[T]he consignee sent in letters of renouncement. Can you please check and confirm with them if they are still accepting cargo?" [RPFF57]. When MTL failed to respond, CMA sent a follow up email asking MTL: "Can you please check and confirm with them [Interfracht] if [they] are still accepting cargo?" MTL finally responded on August 2, 2022, that Interfracht "will accept the cargo if all charges are removed." [RPFF58; RPFF59].

At the risk of repetition, CMA was entitled under the Ukraine Contract of Carriage (and as MTL acknowledged) to assess such storage, demurrage, and other charges relating to MTL's COD and COC requests. [RPFF50]. But, in the interest of increasing throughput velocity and keeping the flow of cargo moving, *CMA waived the charges*. [RPFF62]. On September 5, 2022, CMA's agent in Germany reported that all containers had been picked up by Interfracht. [RPFF63].

2. The Libya Shipment

On June 16, 2020, MTL delivered to CMA a container to be loaded in New York for transportation to Libya, via transshipment at the intermediate port of Malta, a member state of the European Union ("EU"). [RPFF66]. This container held used motor vehicles and a 2004 Yamaha jet ski. CMA flagged, and did not load, the container because EU Council Regulation 2017/1325

forbade the export of jet skis from its member states (e.g., Malta) to Libya, including by transshipment at an EU port. [RPFF69]. This was in accordance with the CMA Booking Confirmation for this shipment which stated, *inter alia*, “For Automobile Shipments, if the container is received at the port and fails to meet any customs requirements. . . the booking will be rolled and applicable charges will be assessed.” [RPFF68].

On June 19, 2020, CMA notified MTL that the shipment would have to be rolled, stating that, “Boats [such as the jet ski] are restricted or sensitive as per EU regulation on Libya as they are used to human beings trafficking and smuggling.” [RPFF75]. When MTL demurred, claiming that the jet ski was not covered by the EU regulations, CMA confirmed that coverage with Malta Customs, and informed MTL: “Per Malta customs, Jet skis fall under the same category.” Despite being informed at least twice that the container could not be loaded until MTL removed the jet ski, MTL delayed action for 15 days, occupying terminal space. [RPFF82]. As is usual, after free time expired and the cargo remained on the terminal, demurrage and detention started to accrue. Once MTL finally came and removed the jet ski, the container was loaded and transported to Libya. According to MTL, it never again tried to transport a jet ski to Libya. [RPFF85].

3. The Rolled Shipments

MTL attempts to assert Shipping Act claims with respect to two more shipments (NAM5194626 and NAM4588370), complaining that CMA improperly rolled these shipments due to confusion about whether documents had been timely presented. [RPFF86; RPFF87; RPFF122].

III. ARGUMENT

1. MTL HAS FAILED TO PROVE A VIOLATION OF 46 U.S.C. § 41102(C)

All claims brought by MTL are asserted under § 41102(c), which requires ocean carriers to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” MTL has not met its burden to prove each required element of § 41102(c). Instead, MTL has followed up the Complaint’s broad, vague allegations with a Brief that is effectively nothing more than a loose collection of unrelated vignettes posing as “facts”, none of which, taken either separately or together, prove any of the required elements of a claim under § 41102(c).

Simply stated, MTL’s Shipping Act claims were flawed from the start and never got better. In its Complaint, MTL did not adequately describe CMA’s alleged violations or correlate them with any one particular shipment of the nine referenced therein. In discovery, MTL did not unearth evidence sufficient to prove either the alleged statutory violations or any damages. And in its Brief, MTL did not explain the relationship between the evidence it submitted and the elements of its § 41102(c) claims. Accordingly, MTL’s claims against CMA must finally be dismissed.

a. MTL’s allegations do not clearly assert any unreasonable ‘practices’ as required under § 41102(c)

It is axiomatic that one cannot determine whether MTL has met its burden of proof without first having clarity on what MTL has set out to prove. This basic truth dovetails with the express requirement that unreasonable conduct be pled and proved with *specificity*. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 3 F.M.C. 110, 118-19, (FMC 2021) (“A complainant must also prove that this specific practice or regulation is unjust or unreasonable. § 545.4(d)”).

In *Crocus*, the “unreasonable conduct” that formed the basis of complainant’s § 41102(c) claim was a broad allegation that respondent Marine Transport Logistics (complainant in the

instant case) conducted its business unreasonably and was generally a bad actor. The Commission, affirming the Initial Decision on Remand of Presiding Officer Wirth, rejected this approach, explaining:

“Crocus’s approach would result in liability if a regulated entity’s “practice” was behaving unreasonably. That is not how § 545.4 is structured, and Crocus cannot combine disparate types of allegedly unreasonable behavior into a practice for purposes of § 41102(c).” *Id.*

MTL’s claims here suffer from the same defect as the claims in *Crocus*. As set forth in the instant Complaint, MTL alleges that CMA failed to comply with § 41102(c) in the following ways:

- A. By failing to timely advise MTL of any perceived shipping issues leading to increased demurrage charges;
- B. By failing to respond in a reasonable manner to timely filed disputes, which caused an increase in the demurrage charges;
- C. By failing to timely process Change in Destination in a manner that would avoid demurrage/storage/detention charges, which would allow for the release of the subject containers;
- D. By failing to provide timely, accurate and complete accounting of demurrage/ storage/ detention charges; and
- E. By failing to include accurate aspects of such charges in the service contract as provided by CMA.

(collectively, the “Alleged Violations”) see Complainant’s Verified Amended Complaint, R. Doc. No. 12, at ¶ 42. While MTL has placed nine specific shipments at issue in this case, neither the Complaint nor MTL’s Brief actually ties any particular Alleged Violation with any particular shipment. Similarly, MTL has never clarified the meaning of several key phrases in the Alleged Violations and its Brief is bereft of any analysis or argument connecting MTL’s complaints about the various shipments to the Alleged Violations. At best, the Alleged Violations amount to precisely the same sort of generalized allegations that the Commission rejected in *Crocus*.

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First, the phrase “any perceived shipping issues” in the first Alleged Violation is so vague that it obscures what conduct is actually being alleged. As a result, MTL has failed to state a claim upon which relief can be granted to the extent the claim turns on this first Alleged Violation. Without understanding what is meant by “perceived shipping issue”, it would not be possible for a reasonable finder of fact to hold that (1) ocean carriers have a duty, under the Shipping Act, to advise their shipper of such issues, (2) that CMA breached said duty (assuming one exists), and (3) that such breach actually caused an increase in demurrage charged. MTL’s Brief likewise offers no clarity or competent evidence that would support a finding that CMA breached any duty it has under § 41102(c) as set forth in this Alleged Violation.

Second, the phrase “failing to respond in a reasonable manner” in the second Alleged Violation does not identify how CMA’s response was allegedly unreasonable. Was the response untimely; if so, under what applicable rule or regulation? Was the response unreasonable in its content? Was the response unreasonable because of the consequences that resulted therefrom? MTL does not say. Even if it were proper for the Presiding Officer to attempt to glean a valid claim from these tea leaves (it is not), such divination is impossible: MTL has not even specified which of CMA’s responses were allegedly unreasonable. Without this very basic factual information, there is no way a reasonable finder of fact could determine that CMA’s response was unreasonable.

Finally, the third Alleged Violation charges CMA with failing to “include accurate aspects of such charges in the service contract.” But MTL does not explain what renders the service contract “inaccurate.” Nor does MTL specify any particular charges or service contract provisions that form the basis of this Alleged Violation. Nor does MTL address the applicability of the tariff and bill of lading terms and conditions. Without understanding which charges MTL intended to base its claim on and what inaccuracies allegedly exist in the service contract, there is no

reasonable basis for a finder of fact to hold that CMA committed this Alleged Violation or that, if CMA did so, it would constitute a violation of § 41102(c).

These defects are fatal to MTL's claims. Based on the allegations set forth in the Amended Complaint and MTL's Brief, there is no reasonable basis to find that CMA has been accused of—let alone actually engaged in—any conduct that would give rise to a claim under § 41102(c). Instead, MTL has combined “disparate types of allegedly unreasonable behavior” in an attempt to show a ‘practice.’” *Crocus*, 3 F.M.C. 110, 118-19. This type of bootstrapping has been rejected by the Commission and must be rejected here. CMA is entitled to judgment as a matter of law on the pleadings alone.

b. The Required Elements of an Unjust or Unreasonable Practice Claim

Even if MTL had properly pled and briefed its claims, it has failed to prove each element required to prevail under § 41102(c). It is MTL's burden to prove each and every element of a 46 U.S.C. § 41102(c) claim. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *DSW Int'l Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012); *Santa Fe Discount Cruise Parking, Inc.*, 3 F.M.C.2d 59, 67 (FMC 2021).

c. Legal Framework: Pattern and Practice

46 U.S.C. § 41102(c), by its terms, applies only to “regulations and practices.” Time and time again, the FMC has reaffirmed that the requirement of a “normal, customary, and continuous basis” is not to be taken lightly or to be given a cursory analysis.” 83 Fed. Reg. 45367 (Sept. 7, 2018), Docket No. 18-06, Preamble to the Final Rule at 5 (footnotes omitted, emphasis added).

In promulgating the Interpretive Rule, the Commission explicitly recognized that it was course-correcting recent decisions it felt had strayed from Congressional intent. *See, e.g.*, Proposed Rule, 83 Fed. Reg. at. 45367-68 (stating that recent FMC decisions “diverged from consistent

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Commission precedent” and noting that “discrete or occasional actions by regulated entities not reflecting a *practice* or *regulation* would not constitute a violation of § 41102(c)”; *Crocus*, 3 F.M.C. 2d at 116 (FMC 2021) (J. Wirth) (“545.4 is a purposeful departure from recent Commission caselaw interpreting § 41102(c)”).

It was in direct response to such decisions that the “practice” requirement was strengthened. Indeed, in its Preamble to the Proposed Rule, the FMC explained that its intent was to “restore § 41102(c) to its proper function and purpose under the Shipping Act of 1984 and [] return the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public – all as intended by Congress in its enactment of the 1916 Act and the 1984 Act.” Docket No. 18-06, Preamble to the Proposed Rule at 4. With this rule, the FMC brought § 41102(c) back in line with its former precedent. *See, e.g., Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC 1964) (six similar actions not a “practice”); *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979) (unless respondent’s “normal practice was not to notify the shipper, such adverse action cannot be found to violate the section as a matter of law.”); *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273, 1276 (SO 1990) (isolated error does not amount to failure to establish, observe, and enforce just and reasonable regulations and practices); *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321, 322 n.8 (ALJ 2001) (complainant must demonstrate regulations and practices, as opposed to identifying what might be an isolated error). See also cases cited by the Commission in its Proposed Rule, *Baltimore & Ohio Railroad Company v. United States*, 277 U.S. 291 (1923); *Wells Lamont Corp. v. Bowles*, 149 F.2d 364, 366 (Em. Ct. App. 1945) (“a practice is a custom or usage, a customary usage, something habitually and uniformly performed”); *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F. Supp. 1014, 1017 (N.D. Tex. 1946) (a “practice”

typically must involve not only repetition, but also application to multiple customers); *McClure v. Blackshere*, 231 F. Supp. 678, 682 (D. Md. 1964); *J.C. Francesconi v. Baltimore & O. R. Co.*, 274 F. 687, 690-91 (S.D.N.Y. 1921).

Commission cases decided since the Interpretative Rule was issued confirm that the prior regime has been restored and that the standard for showing a practice is rigorous. *See, e.g., Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 1 F.M.C.2d 478 (2019) (Wirth, J.), *aff'd* 2 F.M.C. 2d 168 (FMC 2020) (explaining that, under the new interpretive rule, a claimant must show that “the unreasonable regulation or practice was the normal, customary, often repeated, systematic, **uniform, habitual, and continuous** manner in which the regulated common carrier was conducting business”) (emphasis added) (citations omitted). In *Hangzhou*, Presiding Officer Wirth held, and the Commission affirmed on appeal, that three instances of conduct over two months was insufficient to establish § 41102(c)’s ‘practice’ requirement. 2 F.M.C.2d at 173. Affirming the decision, the Commission further held that, “[a]lthough there is no intent requirement for § 41102(c)”, actions of third parties over which the carrier has no control “is relevant to whether its conduct was ‘normal.’” *Id.* (internal citations omitted).

Likewise, in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2 FMC 2d 213 (ALJ 2020), *aff'd* 3 FMC 2d 110 (FMC 2021), Presiding Officer Wirth again explained that the “normal, customary, and continuous” requirement of § 41102(c) requires a showing that the carrier’s unreasonable conduct was representative of the “course of conduct between these parties”, i.e. the “normal and customary arrangement.” 2 F.M.C.2d at 232. There, Presiding Officer Wirth concluded that two similar actions by Marine Transport Logistics, LLC (complainant in the instant action) were not enough to make out a practice. The Commission affirmed holding that:

Crocus has not proved that Marine Transport’s conduct occurred on a normal, customary, and continuous basis as required by § 545.4. Crocus points to only one

prior occasion when Marine Transport was found in violation of § 41102(c) for conduct related to storage fees on export cargo, and that occurred in December 2007 and involved a single shipment of three vehicles. The other conduct *Crocus* relies on comprises unproven allegations that are unrelated to storage fees. (citations omitted). 3 F.M.C. 2d at 117 (collecting cases).

2. **MTL has Failed to Demonstrate a “Practice Connected with Receiving, Handling, Storing, or Delivering Property” that Occurred on a “Normal, Customary, and Continuous Basis**

MTL has failed to allege or prove any unreasonable “practice” of CMA. This time wearing the complainant’s hat, MTL finds itself advancing the very same sort of nebulous claims it defended itself against in *Crocus*. Like the complainant in *Crocus*, here MTL has chronicled various alleged sins of CMA without, at any point, labeling any particular action unreasonable or arguing that it is part of CMA’s “normal, customary, and continuous” practice.

This omission is dispositive. However, in the interest of completeness and without the benefit of specific allegations to respond to, the following sections address MTL’s failure to demonstrate any unreasonable practice on the part of CMA with respect to the Ukraine Shipments, the Libya Shipment, or the Rolled Shipments. Even apart from the failure to define a practice, MTL has failed to prove one. As the Commission explained in *Crocus*, two, three, or six instances in a short period does not make out a practice. And because MTL challenges three different types of CMA activity, it is necessary under *Crocus* to examine them separately.

a. **The Ukraine Shipments**

MTL identifies five instances in which it claims that CMA acted unreasonably. Reading between the lines in MTL’s brief—as we must, because nothing is stated directly— MTL’s contentions with respect to the Ukraine Shipments are as follows:

- CMA was dilatory in processing MTL’s COD and COC requests;

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- CMA emailed MTL's customer advising that certain charges would need to be paid at Constanta before the subject containers could travel on to Bremerhaven;
- CMA, at one point in time, assessed certain charges elementary arithmetic shows that it should not have assessed; and
- That one other customer emailed CMA complaining that one shipment diverted to Constanta had not been transshipped to said customer's alternate port of choice.

Importantly, MTL *does not* proffer any evidence or argument of the following:

- That MTL actually paid any charges which have not been credited or refunded back to it;
- That it is CMA's normal operating procedure to delay COD or COC requests;
- That CMA collected any demurrage related to the Ukraine Shipments;
- That any particular action taken by CMA was unreasonable;
- That CMA's conduct with respect to the Ukraine Shipments was repeated with respect to the Libya Shipments or the Rolled Shipments or at any other point in time in any other context; or
- That CMA has been found to have violated § 41102(c) for the same conduct in the past.

Taken together, MTL has clearly failed to allege or show that CMA engaged in any (1) normal, customary, and continuous practice or regulation which is (2) unjust or unreasonable. We address each component in turn.

There is nothing "normal" about the circumstances surrounding the Ukraine Shipments. No part of the transportation industry has escaped the ongoing impacts of the Russian invasion, least of all ocean carriers. With respect to the Ukraine Shipments, CMA acted in good faith to address an impossibly difficult situation for vast numbers of affected customers. Even though the Ukraine Contract of Carriage gave CMA the option to leave the containers at Constanta and insist that the consignee take delivery of the cargo there, CMA did not take that easy route. Instead, as it did with so many other customers, CMA worked with MTL to get the affected cargo to the port of MTL's choice. That it could not do so—under unprecedented conditions—with the speed desired by MTL is no basis for a Shipping Act claim. *See, e.g., Kobel v. Hapag-Lloyd*, 32 S.R.R. 1720,

1731 (2013), 2013 WL 9808671 (FMC 2013) (affirming the portion of an Initial Decision by Presiding Officer Wirth that a seven-month delay in delivery of a container was not, without more, unreasonable or unjust, because mere delay is not a violation of the Shipping Act); *see also, Meyan SA v. International Frontier Forwarders*, 30 S.R.R. 1397, 1400 n.2 (FMC 2007) (citing previous Commission precedent, holding that “a Shipping Act violation [may be based on] prolonged delay **only when** additional factors are present”) (emphasis added).

And while § 41102(c) does not contain an intent requirement, the Commission has held that a carrier’s intent is relevant to, and can be considered when assessing, whether an act or omission is ‘normal’. *See, e.g., Hangzhou*, 2 F.M.C.2d at 173 (finding that a carrier’s act of releasing cargo without presentation of an original bill of lading was not “normal” where the carrier was misled and induced to do so by a third party). The events described in MTL’s filings took place for one reason and one reason only: on February 24, 2022, Russia invaded the sovereign nation of Ukraine. Under *Hangzhou*, the fact that CMA was forced by a third party (Russia) to divert the Ukraine Shipments precludes a finding that CMA’s conduct was “normal.”

Likewise, MTL has not shown that any of CMA’s alleged conduct was “customary or continuous”. Even if each Ukraine Shipment represents a separate but identical instance of some unstated unreasonable act or omission (which CMA denies), five occurrences over a brief period of time does not a practice make. In fact, Presiding Officer Wirth has held, and the Commission has confirmed, that even six instances of an act or omission is not a ‘practice’ within the meaning of § 41102(c). *Crocus*, 3 F.M.C. 2d at 119. Here, by contrast, as MTL’s own Brief makes clear, there was effectively only a single transaction – the four vessels containing the five Ukraine Shipments were all diverted to the same place (Constanta), the same process of CODs and COCs applied to each, and all were delivered together to Bremerhaven.

Furthermore, as the court cases discussed above especially demonstrate, an essential aspect of proving a practice is universal application – that is, the acts or omissions applied generally, not just to the complainant. As the court emphasized in *Whitam, supra*, “The word ‘a practice’ as used . . . anywhere properly, implies systematic doing of the acts complained of, and usually as applied to carriers and shippers generally.” 66 F. Supp. at 1017 (emphasis added); *see also European Trade Specialists*, 19 S.R.R. at 63; *Hangzhou*, 2 F.M.C. 2d at 173. Although MTL quotes an email from another shipper in its Brief, there is nothing to show that that customer’s experience was anything like MTL’s such as would form a pattern. Rather, the email is exactly the sort of “unproven allegation” that Presiding Officer Wirth and the Commission have held to be insufficient to demonstrate a practice. *Crocus*, 3 F.M.C. 2d 110, 111; *see also Hangzhou*, 2 F.M.C. 2d 168, 172 (holding that speculation that respondent may have engaged in similar conduct in handling other shipments was insufficient.)

And just as the surrounding circumstances preclude any finding that CMA’s conduct was “normal”, they also belie any argument that the conduct formed may be established by a customary and continuous practice. It is difficult to create a practice over a small number of events that took place on a compressed schedule during an emergency situation. It can hardly be expected that anything could be done on a normal, much less customary and continuous basis in such a situation. If a few errors occurred, not that MTL has shown any, that could hardly be a practice as commonly understood. A complainant can’t satisfy this element of § 41102(c) by throwing a hodgepodge of “disparate types of allegedly unreasonable behavior” in an attempt to show a ‘practice’—as MTL should well know, having successfully argued as much in *Crocus*. 3 F.M.C. 2d 110, 119. For the foregoing reasons, MTL has failed to prove the second element required to prevail on a claim for reparations under § 41102(c).

But even if MTL *had* shown a practice (which CMA denies), MTL has also failed to prove the fourth element: that the practice or regulation was unjust or unreasonable. Neither the Complaint nor MTL's Brief point to any specific unreasonable act or omission by CMA. At the risk of repetition, without identifying a specific act or omission, MTL has removed any fact-finder's ability to properly find that said act or omission was unreasonable. For this additional and alternate reason, MTL has failed to prove the elements required to prevail on a claim for reparations under § 41102(c).

Even ignoring *all* of these deficiencies—any one of which alone is fatal to MTL's claims—MTL *still* would not be entitled to reparations because it has shown neither injury nor causal connection between an injury and CMA's acts or omissions. All of the Ukraine Shipments were in fact delivered to MTL's chosen consignee and location. [RPFF52]. And MTL has not alleged or proven that MTL or its customers paid anything to CMA for demurrage charges for these shipments. The evidence of record shows the opposite, in fact: credit notes offsetting invoices. [RPFF109-119].

b. The Libya Shipment

The Libya Shipment was a singular transaction; MTL does not allege or show that CMA's conduct related to this shipment formed any pattern with the Ukraine Shipments or the Rolled Shipments (or any other shipments for that matter). A single act or omission cannot conceivably be a practice, as the Commission held in *Crocus*. Moreover, MTL does not identify any particular act or omission it contends was unreasonable. By contrast, CMA has offered evidence positively demonstrating the *reasonableness* of its conduct—namely CMA's efforts to comply with EU regulations prohibiting the transportation of contraband. [RPFF69]. Accordingly, for the same

reasons MTL has failed to state or prove a claim under § 41102(c) arising from the Ukraine Shipments, it likewise has no such claim arising from the Libya Shipment.

c. The Rolled Shipments

For similar reasons, the rolling of two containers cannot be considered a practice; and certainly no practice may be found in CMA's mistaken rolling of one container as to which CMA long ago refunded the associated costs. [RPFF129].

3. MTL HAS FAILED TO PROVE A RIGHT TO REPARATIONS

Because MTL has not proven that CMA violated the Shipping Act, it necessarily follows that MTL has not proven entitlement to reparations. While the Presiding Officer therefore need not reach this issue, should she do so, there are additional and alternate grounds upon which MTL's claim for reparations must be denied. MTL has not established (i) that MTL suffered an "actual injury" in a specific amount or (ii) that any such injury was proximately caused by the assumed violation—both of which it is required to prove before reparations can be awarded.

Additionally or in the alternative, reparations should not be awarded on two other grounds. First, the affidavit MTL submitted as evidence of its injury is not competent evidence of any actual injury. Second, MTL forfeited its claim to reparations by refusing to produce financial information as required under both the Presiding Officer's orders and rules of discovery.

a. Burden of Proof and Requirement of Actual Injury

The Shipping Act authorizes an award of reparations only when the Complainant has proven "actual injury caused by a violation of [the Shipping Act]." 46 U.S.C. § 41305(b); *Kobel v. Hapag-Lloyd*, FMC No. 10-06, 2014 WL 25316331, at *13 (FMC July 30, 2014) ("Complainants have the burden of proving entitlement to reparations"); *see also MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 3 F.M.C. 2d 135, 166 (I.D. on Remand by Judge Wirth 2021), *aff'd* 5

F.M.C. 2d 109 (FMC 2022); *Muzorori v. Canada States Africa Lines*, 2015 WL 9582593 at 11 (I.D. 2015).

As the Commission has explained:

- (a) damages must be the proximate result of violations of the statute in question;
- (b) there is no presumption of damage; and
- (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.

MAVL, 3 FMC at 161.

A complainant must demonstrate, with “competent evidence” and “reasonable certainty,” **both** the fact and the quantum of injury. *See, e.g., Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001); *California Shipping Line, Inc. v. Yangming Transport Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990); *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.*, 26 S.R.R. 788, 798 (I.D., Admin. Final 1992) (quoting from the Conference Report on the Shipping Act of 1984); *Balmill Lumber & Sales Corp. v. The Port of New York Authority*, 11 F.M.C. 494, 511 (1968).

In *MAVL*, Presiding Officer Wirth declined to award reparations to complainant *MAVL*. *MAVL*, 3 F.M.C. 2d at 166. There, the Presiding Officer held that although *MAVL* proved that (i) respondent Marine Transport Logistics (complainant in the instant case) violated the Shipping Act and (ii) *MAVL* proved it suffered *some* loss proximately caused by MTL’s violation, reparations could not be awarded because *MAVL* did not prove the quantum of damages. *Id.* Presiding Officer Wirth found that *MAVL* had sufficiently proven that its injury was the loss of one Porsche and one Mercedes, but that the customs declaration and contract of sale *MAVL* relied on was not sufficient to demonstrate its “actual injury.” *Id.* The Initial Decision on Remand makes clear the precision with which a complainant must demonstrate her actual injury:

The evidence shows that the Mercedes SL65 was purchased in Germany and imported in November of 2012. It is possible that Complainants paid for the

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Mercedes in Germany and paid the shipping costs from Germany. However, it is also possible that someone else paid the purchase price and shipping fees. It is possible that Complainants wired \$ 5,500 to IAA on April 18, 2013, and \$ 10,000 to RFG on April 22, 2013, for the Porsche Panamera as they claim. However, it is also possible that those payments were made by someone else or were for a different shipment.

Id. at 166.

Here, MTL has not satisfied its burden of proof. The “evidence” upon which it relies is neither reliable nor competent and its claims of injury and proximate cause lack any certainty, much less “reasonable certainty.” The evidence MTL offers to prove its injury falls far short even of the amount of evidence held to be insufficient in *MAVL*. MTL submitted no invoices or receipts reflecting any itemized costs. MTL submitted no copies of contracts MTL lost as a proximate cause of CMA’s alleged violations, with volume commitments and rates that would allow for calculation of the contract’s value. MTL submitted no bank records or wire transfers demonstrating that MTL paid any of the charges it claims were unreasonable. MTL submitted nothing at all that can be considered competent evidence of actual injury, let alone of the amount of such an injury. [RPFF96-RPFF112].

The sole shred of evidence submitted by MTL in support of its claim for damages is an affidavit executed by its president, Alla Yologyeva, after the close of discovery. While CMA objects to the consideration of the affidavit for the reasons set forth below, even if the affidavit is not excluded, it provides no evidence of MTL’s alleged injury.

MTL vaguely asserts that it is entitled to reparations for damage caused by CMA’s alleged violations of the Shipping Act. *See* Complainant’s Brief at 8 (Kodryanka), at 11 (Almowasit) and generally at 12 (“damages should be awarded as delineated above”). While lost profits may be a proper measure of an actual injury, lost revenue—which is what the affidavit addressed—cannot.

See, e.g., Rose International, Inc. v. Overseas Moving Network International, Ltd., 29 SRR 119, 189 (FMC 2001).

In *Rose*, the Commission recognized that it was quite possible that the complainant would not have made any profit at all. Based on the evidence presented, it is impossible to determine whether MTL had *any* profit in the relevant tax years because MTL adamantly refused to name its accountant or provide its tax returns or other financial statements, despite the direct order of the Presiding Officer to do so. [RPFF96-98]. The absence of this information precludes MTL from showing any lost profit with reasonable certainty.

In any event, MTL has not even proven that it lost revenues, much less lost profits, due to actions by CMA. Ms. Solvyeva attests that, absent the alleged violations by CMA, MTL would have retained either the Kodryanka or the Almowasit business (if, indeed, MTL ever lost it). This is pure speculation. Her sole support for this claim is that MTL had done business with Kodryanka and Almowasit in the past, but the FMC has repeatedly held that past business is not a sufficient predicate for a claim that a complainant would have retained that business in the future. *See, e.g., Rose*, 29 SRR at 189; *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, FMC Docket 94-32, 2003 WL 22067203 at *7-8 (FMC 2003) (refusing to assume, without proof, that complainant would have continued to do business with past customers).

b. MTL's claim for reparations regarding the rolled shipments must be deemed abandoned

Neither the Brief nor the Solovyeva Affidavit mention any injury purportedly flowing from the rolled shipments. All of their claims for reparations refer to the alleged loss of business purportedly resulting from the Ukraine Shipments and the Libya Shipment. So even apart from the factual impossibility of MTL proving injury from the Rolled Shipments based on saying nothing,

FMC precedents hold that such silence is an abandonment of the claim. As the Presiding Officer has explained: “[F]ailure to brief and argue [an] issue during the proceedings is grounds for finding that the issue has been abandoned.” *Nnabugwu Chinedu Andrew v. Marine Transport Logistics*, 4 F.M.C. 2d 12, 23 (I.D. 2022) (citing to and quoting from *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000)), *aff’d* 5 F.M.C. 149 (FMC 2022).³

i. MTL Forfeited any Claim to Reparations When it Refused to Comply with the Presiding Officer’s Order to Produce Financial Information About its Finances

On February 6, 2023, CMA served initial discovery requests on MTL, including interrogatories regarding MTL’s calculation of lost profits and requests for production of documents including tax returns and financial statements. [RPFF107]. On March 9, 2023, MTL objected to the production of such financial records on the grounds that they were not relevant. MTL continued to take that position despite CMA’s explanations of why the data was not just relevant, but critical to CMA’s defense to MTL’s claim for reparations.

On December 23, 2023, CMA moved to compel production of documents and correction of responses, specifically including MTL’s tax returns and other financial statements. On January 31, 2024, after MTL had an opportunity to oppose the motion to compel, the Presiding Officer granted CMA’s motion to compel in pertinent part, ordering MTL to produce, *inter alia*, “complete responses regarding [MTL’s] calculation of injury” as well as “MTL’s federal and state tax returns

³ See, e.g., *DNB Exports LLC v. Barsan Global*, 2014 WL 5316332 at *19 (I.D. 2014), reversed in part on other grounds, Docket 11-07 (Order on Exceptions September 4, 2014); *Santa Fe Discount Cruise Parking, Inc. v. The Galveston Wharves*, 2015 WL 8282353 at *9 (I.D. 2014); *CMI Distribution, Inc. v. Service by Air, Inc.*, 1 F.M.C. 2d 313, 379 (I.D. 2019), *reversed in part in other respects*, 3 F.M.C. 2d 83 (FMC 2021).

for each of the most recent three years and financial statements for 2019-2021.” January 31, 2024 Order, p. 6-7.

Despite this clear directive, MTL continued its refusal to provide any of the financial information the Presiding Officer had specifically ordered MTL to produce.⁴ Instead, on February 15, 2024, Counsel for MTL stated that he would not comply with the Presiding Officers Order because “the tax returns or other financial documents would not capture these nuances” of MTL’s reparations claims. [RPFF109]

Notably, counsel for MTL also stonewalled discovery directed to MTL’s (alleged) main customer, CIS Development Foundation, Inc. (“CIS”). On December 13, 2023, the Presiding Officer signed a subpoena directed to CIS for production of certain documents. [RPFF113]. The subpoena was duly served on CIS and a return made. [RPFF113]. Counsel for CIS (who is also counsel for MTL) refused to produce any documents, requiring CMA to seek enforcement in a federal district court, which matter remains pending. [RPFF115].

The FMC Rules regarding discovery specifically contemplate this precise situation. Rule 150(b), 46 C.F.R, 502.150(b), states:

“If a party or a party's officer . . . fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer . . . may make such orders in regard to the failure or refusal as are just. . . . An order of the presiding officer may:

(1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;

⁴ In response to the CMA’s motion to compel production of MTL’s financial documents and interrogatories about the same, MTL had asserted that “Alla Solovyeva will be produced to testify on this point during the deposition.” ALJ Order of January 31, 2024 (quoting Complainant’s Motion, Attachment H, at 12-13.) 2024 WL 474879, at *6.

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(2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or

(3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.”

The FMC’s Administrative Law Judges, including the Presiding Officer, have applied Rule 150(b) to sanction a party’s refusal to produce information ordered by the ALJ. In *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority Of New York And New Jersey*, 2014 WL 7328475 (FMC 2014), for example, a case much like the instant matter, the Commission concluded that the ALJ had properly dismissed the complaint due to complainant’s persistent failure to provide discovery that the ALJ thought was relevant, but complainant insisted was not. To like effect, see *Interpool Ltd v Pacific Westbound Conference*, 22 F.M.C. 762 (1980) where the Commission dismissed a complaint for failure to comply with the ALJ’s discovery orders.

When evaluating whether default should be entered as a result of failure to comply with discovery orders, the FMC looks to the three factors: (1) prejudice to the other party as a result of the conduct at issue, (2) prejudice to the judicial system, and (3) the need to deter similar conduct. *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1998). Only one factor need be present to support a default. *Id.* In this case, however, all three factors are implicated by MTL’s refusal to obey the Presiding Officer’s discovery order.

As to the first factor, the prejudice to CMA is palpable. The Presiding Officer has already concluded that such information is needed for CMA to defend MTL’s claim of reparations [RPFF108], and as discussed below, the Commission has found that tax returns and financial information may be decisive in determining whether a claim of lost business is invalid. Further, the absence of financial documents precluded CMA from effectively deposing Ms. Solovyeva. Moreover, the written discovery compelled by the Presiding Officer’s Order would have likely led

to more discovery, including more useful depositions of other persons. Accordingly, only default, not lesser sanctions, could fully address the prejudice to Respondent.

The second *Webb* factor, prejudice to the judicial system, is also implicated here. The FMC has previously found dismissal to be the only appropriate sanction where a complainant has willfully failed to respond to discovery. *See Interpool, Ltd. V. Pac. Westbound Conf.*, 22 F.M.C. 762, 764, 19 S.R.R. 1719 (FMC 1980). In this case, MTL refused to follow the order of the ALJ, even after repeatedly saying the information was forthcoming [RPFF110], which supports a finding that its refusal was willful and deliberate. *See Webb*, 146 F.3d at 971.

The final *Webb* factor, the need to deter similar conduct in the future, is also implicated here. MTL's counsel repeatedly promised financial information that Complainant did not deliver, and this conduct has to be addressed to deter similar future conduct. Furthermore, as discussed above, MTL's counsel also represented third-party CIS, and as their counsel, refused to obey the document subpoena authorized by the Presiding Officer. [RPFF16].

ii. **Even if MTL is Permitted to Pursue Reparations, The Solovyeva Affidavit Is Not Competent Evidence of Actual Injury**

Even if MTL's case for reparations is allowed to go forward, which it should not, the sole basis for its reparations claim – the Solovevya Affidavit -- must be disregarded because it is unreliable and inadmissible under the FMC's rules regarding evidence.

During Ms. Solovyeva's deposition, she refused to answer basic questions about MTL's net revenue. [RPFF100-RPFF105]. Likewise, Ms. Solovyeva testified that she did not know the names of her accountants, or even the last names of any of MTL's employees in its Staten Island office. She eventually implied that she was withholding discoverable testimony based on her misunderstanding of the rules of discovery: "I don't think I have to provide you with the names of

my three accountants.” [RX2; Solovyeva Deposition 29:9-31:2.] Indeed, throughout the deposition, Ms. Solovyeva could not answer any questions concerning MTL’s financial status.

Importantly, this deposition followed repeated representations by MTL that the deposition would be the source of all discoverable financial information requested by CMA. [RPFF109]. MTL declined to provide tax returns and other financial information on the justification that Ms. Solovyeva would answer all financial questions during her deposition. That did not happen. Between MTL’s refusal to provide either candid testimony or basic financial documents, discovery closed without CMA receiving a single piece of information or document evidencing the damages MTL claimed.

Now, in its Opening Brief, MTL seeks to submit information about MTL’s purported damages in the form of an affidavit by that same Ms. Solovevya, attesting to the same matters she refused to discuss under oath at her deposition. The affidavit is not “relevant, material, reliable and probative” as admissible evidence must be. Rule 204, 46 C.F.R. § 502.204. Specifically, the statements in the affidavit contradict other sworn testimony and are therefore not reliable. Further, the Commission has repeatedly held that reparations analyses prepared solely by an officer of the complainant, without outside verification of the methodology or results, are not probative. *Rose, supra*, 29 S.R.R. at 189 (complainant that relied on its president to supply the evidence of damages was ‘an unconvincing basis on which to award damages.’) (citations omitted); *California Shipping Line, supra*, 25 S.R.R. at 1230 (damage summary work of complainant’s president and was unconvincing basis upon which to award damages); *see also Flanagan, supra*, 2003 WL 22067203, at 10 (complainant did not provide independent or expert analysis of its damages claim).

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Importantly, CMA is not saying that expert or independent testimony is always a prerequisite to an award of damages for lost profits. But given the absence of any other reliable evidence such lack should be considered fatal. *Compare* Solovyeva Deposition 128:18-21, 134:10:13 (Kodryanka did not pay MTL) with Solovyeva Deposition at 239:16-240:9 (claimed MTL had “lost the Kodryanka business”) and Privalova Deposition at 32:15-33:5; Bondareva Deposition at 15:12-19 (CIS controlled that business and that CMA continued to do business with CIS as recently as the week of Ms. Bondareva’s deposition in this proceeding). We cannot see how the Presiding Officer could assign any evidentiary weight to an Affidavit from MTL’s principal who could not (or would not) identify her accountant or even her own employees, and who could not (or would not) testify to the finances of her own company, despite MTL’s counsel’s express assurances that she would.

Even if the affidavit could be admitted under the applicable rules (it cannot), allowing the affidavit to serve as probative evidence would have fundamentally unfair consequences for both CMA and MTL. First, admission of the affidavit would unfairly prejudice CMA by depriving it of the opportunity to cross-examine the claims it contains. An even more alarming consequence: MTL brazenly ignored the directive of the Presiding Officer in her Order that MTL produce its tax returns and financial statements from 2019-2021 and “complete responses regarding its calculation of injury.” January 31, 2024 Order at 7. In the normal course, this recalcitrance creates its own punishment: if MTL refuses to produce documents relevant to its damages, MTL would not be able to carry its burden of proof. But if the Presiding Officer accepts the affidavit as probative evidence, MTL will be insulated from the consequences of its willful failure to comply with the Presiding Officer’s order.

IV. CONCLUSION AND PRAYER FOR RELIEF

In this case, MTL has abjectly failed to carry its burden of proof by a preponderance of the evidence. It has failed to prove CMA has violated the provisions of 46 U.S.C. § 41102(c), and it has failed to prove that it suffered any actual damages, in the form of lost profits or otherwise, caused by a violation of the Shipping Act. Accordingly, CMA prays that the Presiding Officer enter an order in favor of CMA, dismissing MTL's Complaint with prejudice, and, pursuant to 46 CFR § 502.254, award CMA its reasonable attorneys' fees incurred in defending this claim.

DATED: June 12, 2024

Respectfully submitted.



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CERTIFICATE OF SERVICE

I certify that on the 12th day of June 2024, a true and correct copies of **Respondent's Opposition Brief, Replies to Complainant's Proposed Findings of Fact, Proposed Findings of Fact, and Appendix** were served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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